



Bill Number: S.B. 1075

Finchem Floor Amendment

Reference to: FEDERALISM Committee Amendment

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Establishes the Foreign Entity Review Commission (Commission) within the Arizona Department of Real Estate to approve the conveyance of land to a hostile foreign entity.
2. Removes the requirement for the Legislature to approve the conveyance of land to a hostile foreign entity.
3. Requires the Commission to consist of:
 - a) the commissioner of the State Real Estate Department;
 - b) two persons who are appointed by the Governor;
 - c) one person who is appointed by the President of the Senate; and
 - d) one person who is appointed by the Speaker of the House of Representatives
4. Outlines the requirements and procedural duties of the Commission.
5. Makes conforming changes.

FINCHEM FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1075
(Reference to FEDERALISM Committee amendment)

Amendment instruction key:

[GREEN UPPERCASE UNDERLINING IN BRACKETS] indicates that the amendment is adding text to statute or previously enacted session law.
[Green lowercase underlining in brackets] indicates that the amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~[GREEN UPPERCASE STRIKEOUT IN BRACKETS]~~ indicates that the amendment is removing new text from statute or previously enacted session law.
~~[Green lowercase strikeout in brackets]~~ indicates that the amendment is removing text from existing statute, previously enacted session law or new session law.
<<Double green carets enclosing an entire section>> indicates that the amendment is adding the section to the bill.
~~<<Green strikeout with double green carets enclosing an entire section>>~~ indicates that the amendment is removing the section to the bill.
{ORANGE UPPERCASE UNDERLINING IN DOUBLE CURLY BRACKETS} indicates that the amendment to an amendment is adding text to statute or previously enacted session law.
{Orange lowercase underlining in double curly brackets} indicates that the amendment to an amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~{ORANGE UPPERCASE STRIKEOUT IN DOUBLE CURLY BRACKETS}~~ indicates that the amendment to an amendment is removing new text from statute or previously enacted session law.
~~{Orange lowercase strikeout in double curly brackets}~~ indicates that the amendment to an amendment is removing text from existing statute, previously enacted session law or new session law.
>>Double orange underlined carets enclosing an entire section>> indicate that the amendment to an amendment is adding the section to the bill.
~~>>Orange strikeout with double orange underlined carets enclosing an entire section>>~~ indicates that the amendment to an amendment is removing the section from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 33, chapter 4, article 4, Arizona Revised
3 Statutes, is amended by adding section 33-459, to read:

4 33-459. Conveyance to foreign entity; prohibition;
5 identification; foreign entity review commission;
6 civil penalty; violation; classification;
7 definitions

8 A. BEGINNING ON THE EFFECTIVE DATE OF THIS SECTION, LAND IN THIS
9 STATE MAY NOT BE CONVEYED TO A HOSTILE FOREIGN ENTITY WITHOUT ~~{MAJORITY}~~
10 APPROVAL OF ~~{BOTH THE SENATE AND THE HOUSE OF REPRESENTATIVES}~~~~{THE~~
11 FOREIGN ENTITY REVIEW COMMISSION ESTABLISHED PURSUANT TO THIS SECTION}.

12 B. A GRANTOR IN THIS STATE AND THE GRANTOR'S AGENT, INCLUDING A
13 REAL ESTATE PROFESSIONAL LICENSED PURSUANT TO TITLE 32, CHAPTER 20, SHALL
14 SUBMIT TO THE STATE REAL ESTATE DEPARTMENT A VALID IDENTIFICATION OF ANY
15 GRANTEE. IF THE GRANTEE IS NOT A NATURAL PERSON, THE GRANTOR AND THE
16 GRANTOR'S AGENT SHALL SUBMIT A VALID IDENTIFICATION OF THE GRANTEE'S AGENT
17 AND THE NAME AND PRINCIPAL PLACE OF BUSINESS OF THE GRANTEE. THE GRANTOR,

1 THE GRANTOR'S AGENT AND THE STATE REAL ESTATE DEPARTMENT SHALL MAINTAIN A
2 COPY OF THE IDENTIFICATION PROVIDED BY THE GRANTEE OR, IF THE GRANTEE IS
3 NOT A NATURAL PERSON, THE IDENTIFICATION OF THE GRANTEE'S AGENT AND THE
4 GRANTEE'S NAME AND PRINCIPAL PLACE OF BUSINESS.

5 C. IDENTIFICATION IS DEEMED VALID UNLESS IT CAN BE DETERMINED ON
6 ITS FACE THAT THE IDENTIFICATION HAS EXPIRED.

7 {{D. THE FOREIGN ENTITY REVIEW COMMISSION IS ESTABLISHED IN THE
8 STATE REAL ESTATE DEPARTMENT CONSISTING OF THE FOLLOWING PERSONS:

9 1. THE COMMISSIONER OF THE STATE REAL ESTATE DEPARTMENT.

10 2. TWO PERSONS WHO ARE APPOINTED BY THE GOVERNOR.

11 3. ONE PERSON WHO IS APPOINTED BY THE PRESIDENT OF THE SENATE.

12 4. ONE PERSON WHO IS APPOINTED BY THE SPEAKER OF THE HOUSE OF
13 REPRESENTATIVES.

14 E. EACH MEMBER OF THE FOREIGN ENTITY REVIEW COMMISSION EXCEPT THE
15 COMMISSIONER OF THE STATE REAL ESTATE DEPARTMENT SHALL SERVE A FOUR-YEAR
16 TERM. AT THE FIRST MEETING OF THE COMMISSION, THE MEMBERS SHALL ELECT A
17 CHAIRPERSON FROM AMONG THEIR MEMBERSHIP. THE COMMISSION SHALL MEET AT THE
18 CALL OF THE CHAIRPERSON TO CONSIDER ANY PROPOSED PURCHASES, LEASES OR
19 SUBLEASES OF LAND IN THIS STATE BY A POSSIBLE HOSTILE FOREIGN ENTITY AS
20 PROHIBITED BY THIS SECTION OR AS PROHIBITED BY SECTION 37-240. ON REVIEW
21 OF THE PROPOSED TRANSACTION, THE COMMISSION MAY VOTE TO APPROVE OR REJECT
22 THE TRANSACTION, AND IF REJECTED, THE PROPOSED TRANSACTION IS VOID.}}

23 {{D.}} {{F.}} [A PERSON OR ENTITY THAT VIOLATES THIS SECTION IS
24 SUBJECT TO A CIVIL PENALTY. THE ATTORNEY GENERAL MAY BRING AN ACTION
25 AGAINST A PERSON OR ENTITY THAT VIOLATES THIS SECTION. THE CIVIL PENALTY
26 SHALL BE THE GREATER OF THE FOLLOWING:

27 1. \$250,000.

28 2. FIFTY PERCENT OF THE FAIR MARKET VALUE OF THE INTEREST IN REAL
29 PROPERTY THAT IS THE SUBJECT OF THE VIOLATION.]

30 {{E.}} {{G.}} [A PERSON WHO KNOWINGLY VIOLATES THIS SECTION IS
31 GUILTY OF A CLASS 1 MISDEMEANOR, EXCEPT AS FOLLOWS:

32 1. IF ANY PORTION OF THE LAND IS LOCATED WITHIN TWENTY-FIVE MILES
33 OF A MILITARY INSTALLATION OR CRITICAL INFRASTRUCTURE, THE PERSON IS
34 GUILTY OF A CLASS 6 FELONY.

35 2. IF THE PERSON KNOWINGLY ACTED AS AN AGENT OF A FOREIGN
36 GOVERNMENT OR RECEIVED COMPENSATION OR DIRECTION FROM A FOREIGN
37 GOVERNMENT, THE PERSON IS GUILTY OF A CLASS 6 FELONY.]

38 [D.] {{F.}} {{H.}} FOR THE PURPOSES OF THIS SECTION:

39 1. "FOREIGN ENTITY" MEANS A FOREIGN GOVERNMENT, A STATE-CONTROLLED
40 ENTERPRISE OF A FOREIGN GOVERNMENT OR AN ENTITY ACTING AS AN AGENT FOR A
41 FOREIGN GOVERNMENT OR STATE-CONTROLLED ENTERPRISE OF A FOREIGN GOVERNMENT.

42 2. "HOSTILE" MEANS A FOREIGN ENTITY THAT IS LISTED AS A THREAT OR A
43 COUNTRY OF CONCERN BY THE DIRECTOR OF NATIONAL INTELLIGENCE OR THE UNITED
44 STATES DEPARTMENT OF STATE.

45 3. "VALID IDENTIFICATION" INCLUDES:

46 (a) ANY DOCUMENT THAT BEARS THE PHOTOGRAPH, NAME AND ADDRESS OF THE
47 GRANTEE OR[.] IF THE GRANTEE IS NOT A NATURAL PERSON, THE GRANTEE'S AGENT.

1 (b) AN ARIZONA DRIVER LICENSE, AN ARIZONA NONOPERATING
2 IDENTIFICATION LICENSE, A TRIBAL ENROLLMENT CARD OR ANOTHER FORM OF TRIBAL
3 IDENTIFICATION OR A UNITED STATES, STATE OR LOCAL GOVERNMENT-ISSUED
4 IDENTIFICATION.

5 Sec. 2. Section 37-231, Arizona Revised Statutes, is amended to
6 read:

7 37-231. State lands subject to sale; rights reserved in lands
8 sold; state lands not subject to sale; development
9 agreements

10 A. All state lands, except as otherwise provided for in this title,
11 including all improvements made or placed on or connected with state
12 lands, shall be subject to appraisal and sale as provided in this title.

13 B. Any person over eighteen years of age is entitled to purchase
14 any of the state lands EXCEPT AS PROVIDED IN SECTION 37-240.

15 C. All sales, grants, deeds or patents to any state lands sold
16 between July 9, 1954 and March 18, 1968 shall be subject to and shall
17 contain a reservation to ~~the~~ THIS state of an undivided one-sixteenth of
18 all oil, gases and other hydrocarbon substances, coal or stone, metals,
19 minerals, fossils and fertilizer of every name and description, together
20 with all uranium, all thorium, or any other material ~~which~~ THAT is or may
21 be determined by the laws of ~~the~~ THIS state or the United States or
22 decisions of courts to be peculiarly essential to the production of
23 fissionable materials, whether or not of commercial value, subject to the
24 following:

25 1. ~~For the purpose of promoting~~ TO PROMOTE the sale of state lands
26 and the more active cooperation of the owner of the soil, and to
27 facilitate the development of its mineral resources, ~~the~~ THIS state
28 constitutes the purchaser of the land its agent for the purposes specified
29 in this section, and in consideration hereof, relinquishes to and vests in
30 the purchaser of the state land an undivided fifteen-sixteenths of all
31 oil, gas and the value thereof which may be ~~upon~~ ON or within any state
32 land purchased after July 9, 1954 and before March 18, 1968.

33 2. The purchaser of the soil may sell or lease to any person, firm
34 or corporation the oil and gas and other minerals ~~which~~ THAT may be on or
35 in the land, ~~upon~~ ON terms and conditions THAT the purchaser and the owner
36 deem best, subject to the provisions and reservations of this section, but
37 the lessee or purchaser shall pay to ~~the~~ THIS state an undivided
38 one-sixteenth of the mineral produced or the value of the mineral produced
39 at the well or mine as determined by the ~~state-land~~ department.

40 3. ~~upon~~ ON discovery of oil and gas in paying quantities on land
41 adjoining state lands purchased under the authority of this section, the
42 purchaser or the purchaser's lessee shall drill and produce all wells
43 necessary to protect the land so purchased from drainage by wells on lands
44 in which ~~the~~ THIS state has no royalty interest, ~~or~~ has a lesser royalty
45 interest. If the purchaser or the purchaser's lessee fails to protect
46 against such drainage, ~~the~~ THIS state, acting through the ~~state-land~~
47 department, ~~may~~, three months after demand therefor in writing by the
48 ~~state-land~~ department to such purchaser and the purchaser's lessee, MAY

1 enter ~~upon~~ ON such lands and drill all wells necessary to protect ~~the~~ THIS
2 state against such drainage.

3 4. The interest reserved by ~~the~~ THIS state in any state lands sold
4 may be committed to a drilling unit or cooperative or unit plans of
5 development and operation of oil and gas pools with the United States, its
6 agencies and its and their lessees and permittees, and with private owners
7 and persons holding oil and gas leases on private lands or on state lands.
8 The ~~state land~~ department ~~may~~, insofar as the interest of ~~the~~ THIS state
9 may be affected thereby, MAY join in and consent to any such plan on
10 behalf of ~~the~~ THIS state. Such agreements shall provide for the equitable
11 division on an agreed basis of the oil and gas produced from the unit, but
12 ~~no~~ such agreement shall NOT relieve any operator from the obligation to
13 develop reasonably the lands and leases as a whole committed thereto. The
14 royalties to which ~~the~~ THIS state is entitled on production from land
15 purchased under this section shall be computed only on that part of the
16 production allocated to such tract. When the agreements made under this
17 section provide for the return of gas to a formation underlying the unit,
18 they may provide that no royalties are required to be paid on the gas so
19 returned.

20 D. State lands known to contain oil, gases and other hydrocarbon
21 substances, geothermal resources, coal or stone, metals, minerals, fossils
22 and fertilizer of every name and description, in paying quantities, or
23 uranium, thorium or any other material ~~which~~ THAT is or may be determined
24 by the laws of ~~the~~ THIS state OR the United States or BY decisions of
25 court to be peculiarly essential to the production of fissionable
26 materials, whether or not of commercial value, and state lands adjoining
27 lands ~~upon~~ ON which there are producing oil, gas or geothermal wells or
28 adjoining lands known to contain any of such substances in paying
29 quantities, or uranium, thorium or any other material peculiarly essential
30 to the production of fissionable materials, whether or not of commercial
31 value, shall not be sold. The prohibition against sale shall not operate
32 to prevent the sale of lands known to contain, in paying quantities,
33 common variety minerals as defined in section 27-271 or to prevent the
34 sale of lands where ~~the~~ THIS state does not own such substances, minerals
35 or metals in the lands sought to be sold. ~~The provisions of~~ This
36 subsection ~~shall~~ DOES not prohibit the sale of such lands located within
37 the exterior boundaries of an incorporated city or town, in which case the
38 commissioner may offer the land for sale, provided the land shall be used
39 solely for a public purpose. Such land shall revert to ~~the~~ THIS state if
40 it is used other than for a public purpose.

41 E. Notwithstanding ~~the provisions of~~ subsection C of this section,
42 all state lands sold after March 18, 1968 shall be sold with the
43 reservation that all oil, gas, other hydrocarbon substances, helium or
44 other substances of a gaseous nature, geothermal resources, coal, metals,
45 minerals, fossils, fertilizer of every name and description, together with
46 all uranium, all thorium or any other material ~~which~~ THAT is or may be
47 determined by the laws of the United States or of this state, ~~or~~ BY
48 decisions of court, ~~to~~ be peculiarly essential to the production of
49 fissionable materials, whether or not of commercial value, and the

1 exclusive right thereto, on, in, or under such land, shall be and remain
2 and be reserved in and retained by ~~the~~ THIS state, regardless of any sale
3 under this section and the issuance of any certificate of purchase to any
4 purchaser of state lands pursuant to this section, provided, that the
5 reservation shall not include common variety minerals as defined in
6 section 27-271, subject to the following:

7 1. The ~~state land~~ department shall adopt rules providing for the
8 protection of the patentee or contract purchaser of state lands, or their
9 successors in interest, and ~~the~~ THIS state ~~of Arizona~~, against damage to
10 the lands, livestock, water, crops, or other tangible improvements on
11 lands held by such patentee or contract purchaser, and suffered by reason
12 of the use or occupation of such lands by lessees or permittees engaged in
13 mining and oil, gas and geothermal resource exploration and development
14 under leases or permits executed by the department. The ~~state land~~
15 department ~~may~~, at any time, MAY require each of its lessees or permittees
16 to execute a bond in a reasonable principal amount conditioned ~~upon~~ ON
17 payment for all such damages.

18 2. The mineral rights reserved to ~~the~~ THIS state in the lands sold
19 shall be closed to entry and location as a mineral claim or claims, but
20 the department may issue, ~~upon~~ ON application, mineral exploration permits
21 embracing the reserved mineral rights when such issuance is deemed in the
22 best interest of ~~the~~ THIS state, provided that the surface owner or owners
23 shall have the first right of refusal to acquire such mineral exploration
24 permits.

25 Sec. 3. Section 37-240, Arizona Revised Statutes, is amended to
26 read:

27 37-240. Limits on sales of state lands; foreign entity review
28 commission; civil penalty; violation;
29 classification; definitions

30 A. ~~No~~ A person may NOT purchase more than six hundred forty acres
31 of grazing land, or more than one hundred sixty acres of agricultural
32 land.

33 B. ~~No~~ Sales[, leases or subleases] of state lands ~~shall~~ MAY NOT be
34 made to ~~corporations~~ A CORPORATION or ~~associations~~ ASSOCIATION THAT IS not
35 qualified to transact business in ~~the~~ THIS state.

36 C. BEGINNING ON THE EFFECTIVE DATE OF THIS AMENDMENT TO THIS
37 SECTION, SALES[, LEASES OR SUBLEASES] OF STATE LANDS MAY NOT BE MADE TO A
38 HOSTILE FOREIGN ENTITY WITHOUT THE {{MAJORITY}} APPROVAL OF {{BOTH THE
39 SENATE AND THE HOUSE OF REPRESENTATIVES}} {{THE FOREIGN ENTITY REVIEW
40 COMMISSION ESTABLISHED BY SECTION 33-459. THE COMMISSIONER MAY REFER ANY
41 PROPOSED SALES, LEASES OR SUBLEASES OF STATE LANDS TO A FOREIGN ENTITY TO
42 THE FOREIGN ENTITY REVIEW COMMISSION FOR REVIEW AND APPROVAL AS PRESCRIBED
43 BY SECTION 33-459}}.

1 [D. A PERSON OR ENTITY THAT VIOLATES SUBSECTION C OF THIS SECTION
2 IS SUBJECT TO A CIVIL PENALTY. THE ATTORNEY GENERAL MAY BRING AN ACTION
3 AGAINST A PERSON OR ENTITY THAT VIOLATES THIS SECTION. THE CIVIL PENALTY
4 SHALL BE THE GREATER OF THE FOLLOWING:
5 1. \$250,000.
6 2. FIFTY PERCENT OF THE FAIR MARKET VALUE OF THE INTEREST IN REAL
7 PROPERTY THAT IS THE SUBJECT OF THE VIOLATION.
8 E. A PERSON WHO KNOWINGLY VIOLATES THIS SECTION IS GUILTY OF A
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13 2. IF THE PERSON KNOWINGLY ACTED AS AN AGENT OF A FOREIGN
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15 GOVERNMENT, THE PERSON IS GUILTY OF A CLASS 6 FELONY.]
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18 ENTERPRISE OF A FOREIGN GOVERNMENT OR AN ENTITY ACTING AS AN AGENT FOR A
19 FOREIGN GOVERNMENT OR STATE-CONTROLLED ENTERPRISE OF A FOREIGN GOVERNMENT.
20 2. "HOSTILE" MEANS A FOREIGN ENTITY THAT IS LISTED AS A THREAT OR A
21 COUNTRY OF CONCERN BY THE DIRECTOR OF NATIONAL INTELLIGENCE OR THE UNITED
22 STATES DEPARTMENT OF STATE.

23 Enroll and engross to conform
24 Amend title to conform

MARK FINCHEM

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02/10/2026
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C: MR
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